Monthly Operating Review

Apex Industrial Components Ltd. | June 2026 | USD thousands except operational measures

MANUFACTURING TEMPLATE | PLANT AND FINANCE SCORECARD

Performance narrative

June revenue exceeded budget following accelerated delivery of two export orders. Gross margin remained below plan because expedited freight, alloy price increases and overtime reduced the benefit of higher volume. Plant output reached a six-month high, while first-pass yield declined during the final production week.

Measure	June actual	June budget	May actual	Status
Revenue	18,750	17,900	17,420	Above budget
Gross profit	5,060	5,191	4,965	Below budget
Operating profit	2,120	2,280	2,060	Below budget
Production volume (units)	41,800	40,000	39,600	Above plan
First-pass yield	94.1%	96.0%	95.3%	Below plan
On-time delivery	91.8%	95.0%	92.4%	Below plan

Operational note

The plant completed preventive maintenance on Line 3. Two unplanned stoppages on Line 1 resulted in 11.5 hours of downtime. A supplier quality issue affected 620 units; all affected material was quarantined before shipment.

Financial performance

Profit and loss	June actual	June budget	Variance	May actual
Revenue	18,750	17,900	850	17,420
Direct materials	(8,200)	(7,600)	(600)	(7,650)
Direct labor	(3,100)	(2,950)	(150)	(3,010)
Factory overhead	(2,390)	(2,159)	(231)	(1,795)
Gross profit	5,060	5,191	(131)	4,965
Selling and distribution	(1,360)	(1,290)	(70)	(1,285)
General and administrative	(1,580)	(1,621)	41	(1,620)
Operating profit	2,120	2,280	(160)	2,060

Plant and workforce indicators

Plant KPI	June	May	Target	Comment
Units produced	41,800	39,600	40,000	Export order accelerated
Scrap units	1,965	1,620	<= 1,500	Alloy variability and Line 1 setup
Available production hours	6,720	6,720	6,720	Three-shift operation
Downtime hours	238	205	<= 180	Includes planned and unplanned stops
Recordable safety incidents	1	0	0	Minor hand injury; corrective action open
Employee absenteeism	3.8%	3.2%	<= 3.0%	Seasonal increase

Derived analysis

Calculated measure	Calculation	June result	Assessment
Revenue variance %	(18,750 - 17,900) / 17,900	4.7%	Favorable
Gross margin %	5,060 / 18,750	27.0%	Below budget margin of 29.0%
Operating margin %	2,120 / 18,750	11.3%	Below budget
Scrap rate	1,965 / 41,800	4.7%	Above acceptable range
Available-time utilization	(6,720 - 238) / 6,720	96.5%	Affected by downtime

Management actions

Procurement will reopen alloy pricing with the two largest suppliers. Operations will complete a root-cause review of Line 1 and introduce an additional setup verification. Commercial teams will review expedited-freight approval thresholds before accepting accelerated delivery requests.

Forward-looking risk

July order intake remains healthy, but continued raw-material inflation or repeat quality problems could reduce margin. No revenue forecast change has been approved.